

CHAPTER 3: INSURANCE AND INDEMNIFICATION

3.4. Employee Benefits Liability (EBL) Insurance

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[3:280] Standard form CGL policies do not cover an employer's liability under ERISA or state law relating to an employee benefits program. To cover this risk, ISO has published a standard form *endorsement* to its CGL policies, “Employee Benefits Liability Coverage” (EBL) (CG 04 35 03 05).

Other insurance forms are also available, including a “Labor Management Trust Fiduciary Policy” that indemnifies insureds who manage pensions for others against claims based upon “any actual or alleged breach of fiduciary duty” (including both ERISA and common law fiduciary duties). [See *Pension Trust Fund for Operating Engineers v. Federal Ins. Co.* (9th Cir. 2002) 307 F3d 944, 950]

1. [3:281] **Covered Acts and Omissions:** EBL coverage is limited to providing coverage for the negligent administration of employee benefits programs. The ISO form endorsement states:

— “We will pay those sums that the insured becomes legally obligated to pay as damages because of any act, error or omission ... to which this insurance applies ... This insurance applies to damages only if ... [t]he act, error or omission, is *negligently committed* in the ‘administration’ of your ‘employee benefit program.’” [CG 04 35 03 05, ¶ A.1.a. (emphasis added)]

a. [3:282] **Negligent vs. intentional acts:** There may be a *potential* for coverage (and hence a duty to defend the insured) even against claims of intentional misconduct because the evidence may show that the insured's act was merely negligent (see ¶ 3:142).

b. [3:283] **“Employee benefit program”:** “Employee benefit program” is broadly defined to include all forms of insurance, savings and stock ownership, pension and profit-sharing, vacation plans, tuition assistance, etc. [See CG 04 35 02 02, ¶ H.4.]

c. [3:284] **“Administration”:** “Administration” means:

— providing information to employees and beneficiaries with respect to program eligibility and scope;

— handling records in connection with the employee benefit program (but not handling payroll deductions); and

— effecting, continuing or terminating an employee's participation in any benefit included in the program. [CG 04 35 02 02, ¶ H.1.]

(1) [3:284.1] **Not discretionary decisions:** The purpose of EBL coverage is to protect against ministerial mistakes in administering the plan. “Administration” does *not* cover liability incurred in discretionary, decision-making activities, such as managing a pension plan's investments. [*Maryland Cas. Co. v. Economy Bookbinding Corp. Pension Plan & Trust* (D NJ 1985) 621 F.Supp. 410, 413]

d. [3:285] **Compare—matters excluded:** The limited nature of EBL coverage is demonstrated by the following:

(1) [3:285.1] **No coverage for breach of fiduciary duty:** The policy specifically excludes liability for breach of fiduciary duty under ERISA or similar state laws. [CG 04 35 03 05, ¶ A.2.g.]

Coverage under other insurance forms: Other insurance forms may cover breach of fiduciary duty. For example, a Pension & Welfare Fund Fiduciary Responsibility Policy may define “wrongful act” as “a breach of fiduciary duty by the insured in the discharge of duties as respects the Trust or Employee Benefit Plan.” [See *Perdue Farms, Inc. v. Travelers Cas. & Sur. Co. of America* (4th Cir. 2006) 448 F3d 252, 255—policy covered claims for relief under ERISA]

(2) [3:285.2] **No coverage for discrimination, etc.:** Damages arising out of employment discrimination, wrongful

termination or other employment-related practices are specifically excluded. [CG 04 35 03 05, ¶ A.2.j.] (However, EPL coverage may be available for these risks; ¶ 3:170 *ff.*)

(3) [3:285.3] **No coverage for bodily injury or property damage:** The endorsement specifically excludes “bodily injury,” “property damage” or “personal and advertising injury” liability. [CG 04 35 03 05, ¶ A.2.b.]

2. [3:286] **Claims-Made Coverage:** EBL coverage is generally limited to a “claim” for damages first made against the insured during the policy period, based on an act, error or omission that took place during the policy period or within any earlier period covered by a retroactive date. (An extended reporting period is provided where the policy is canceled or not renewed.) [CG 04 35 03 05, ¶ A.1.b.]

a. [3:286.1] **When claim “made”:** A claim is deemed made when “received and recorded” by the insured or the insurer, whichever comes first. (Claims received and recorded by the insured within 60 days after the policy period are covered if no subsequent policy is available.) Related claims are deemed made when the first claim is made against the insured. [CG 04 35 03 05, ¶ A.1.c., A.1.d.]

3. [3:287] **Other Exclusions:** In addition to exclusions mentioned above (¶ 3:285 *ff.*), the standard EBL endorsement excludes coverage for claims based on:

- the employer's failure to comply with mandatory provisions of workers' compensation, unemployment compensation insurance, social security or disability benefits law or any similar law;
- dishonest, fraudulent, criminal or malicious acts;
- insufficient funds to meet obligations under any plan included in the employee benefit program;
- poor return on investments, misleading information regarding past performance of any investment vehicle, or advice given regarding whether to participate in the employee benefit program; and
- taxes, fines or penalties. [CG 04 35 03 05, ¶ A.2.]

[3:288 - 3:289] *Reserved.*